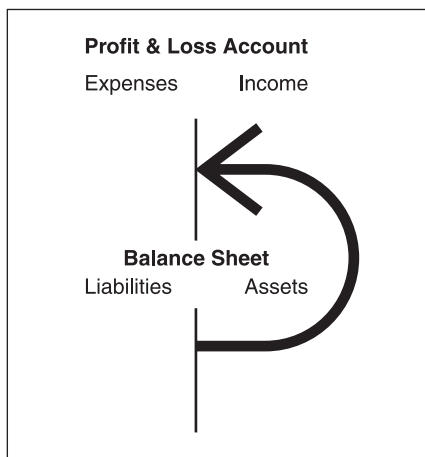




Learning the Money Game¹

To be a successful investor you must know how money works. There are some elementary facts about finance that unfortunately are not taught in schools and colleges. So let's begin learning now. What is an Asset? An asset is that which creates an income for the owner. See Figure 11.1

FIGURE 11.1



Asset Cash Flow Pattern

What is a Liability? A liability is that which creates an expense for the owner. See Figure 11.2.

Have you been approached by banks willing to lend you money to buy a house? Does your banker say he will help you buy an asset? Attractive deals in the form of low interest rates and long-term mortgage payments are offered. So you go ahead and buy your dream house thinking you are buying an asset. By the definition of an asset it should create an income for you. However, here it is creating an expense in the form of mortgages, taxes,